



Optimizing Content Investment Using Data Visualization

# **Netflix Movie Catalog Analysis (2012-2016)**

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# Introduction

Netflix is planning to allocate a new budget for adding pre-2016 movies to its platform. However, not all genres perform equally well financially. By analyzing historical box office data, this project identifies which genres are the most profitable and cost-efficient to help Netflix optimize its investments.

# Agenda

**01 — Executive Summary**

**02 — Context**

**03 — Methodology**

**04 — Visualizations & Findings**

**05 — Recommendations**

**06 — Questions**

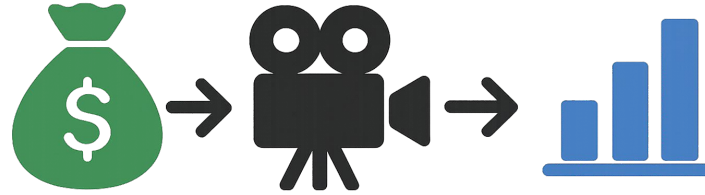
# Executive Summary

# Objectives

- Are movies becoming more or less profitable over time for the typical producer?
- What genres are audience's interested in and generate the most revenue?
- **How can producers become more successful?**
  - ★ Adjust business model and budget based on industry and economic conditions
  - ★ Invest more in Horror and Documentaries, less in Crime, and Biographies
  - ★ For more consistent returns make Action, Comedy, and Drama films
  - ★ Make more sequels, and adaptations of popular franchises

# Context

# Why?



- Movies require massive investments for production and marketing.
- Box office results are uncertain, with some films being successes, and others failures.
- Understanding which genres perform the best can influence decision making.
- Box office data can tell us about audience taste and cultural trends.

# Methodology



# Our Process

1. **Ask:** We want to find out why certain genres of movies are more popular than others and understand the relationship between movie budget and box office revenue.
2. **Prepare:** Find a large movie dataset with relevant information on release year, box office revenue, budget, and genre.
3. **Process:** Clean the data to ensure accuracy by standardizing formats and removing duplicates.
4. **Analyze:** Analyze data and compile a list of key findings that inform our recommendations
5. **Share:** Present our findings in an effective and engaging manner, prioritizing that the results are understood and can be used to take action.

# Our Methods - Analysis

- Google Sheets/Excel
  - Removal of irrelevant columns
  - Standardization of data formats
  - Pivot tables and charts for initial analysis
  - Formulas for data calculations
- Tableau
  - Creation of data visualizations
  - Formatting titles, labels, and sizes of graphs

# Considerations

- We have to be mindful of the relevance of our findings, as the dataset is only representative of movies released in 2012-2016.
- The dataset does not have any information about audience perception. Our analysis is based on the box office performance of the movie.
- Data for 2016 does not completely represent the entire year because the dataset does not include movies released after August 2016.

# Visualizations & Findings

# Key Findings

- The movie industry's health (and profitability) is determined by the rate at which budget and revenue change comparatively for the typical movie.
- From 2012-2016, the top three genres in terms of volume of movies produced were: Action, Comedy, and Drama.
- Documentaries and Horror movies are the most profitable, while Biographies and Crime movies are the least profitable.

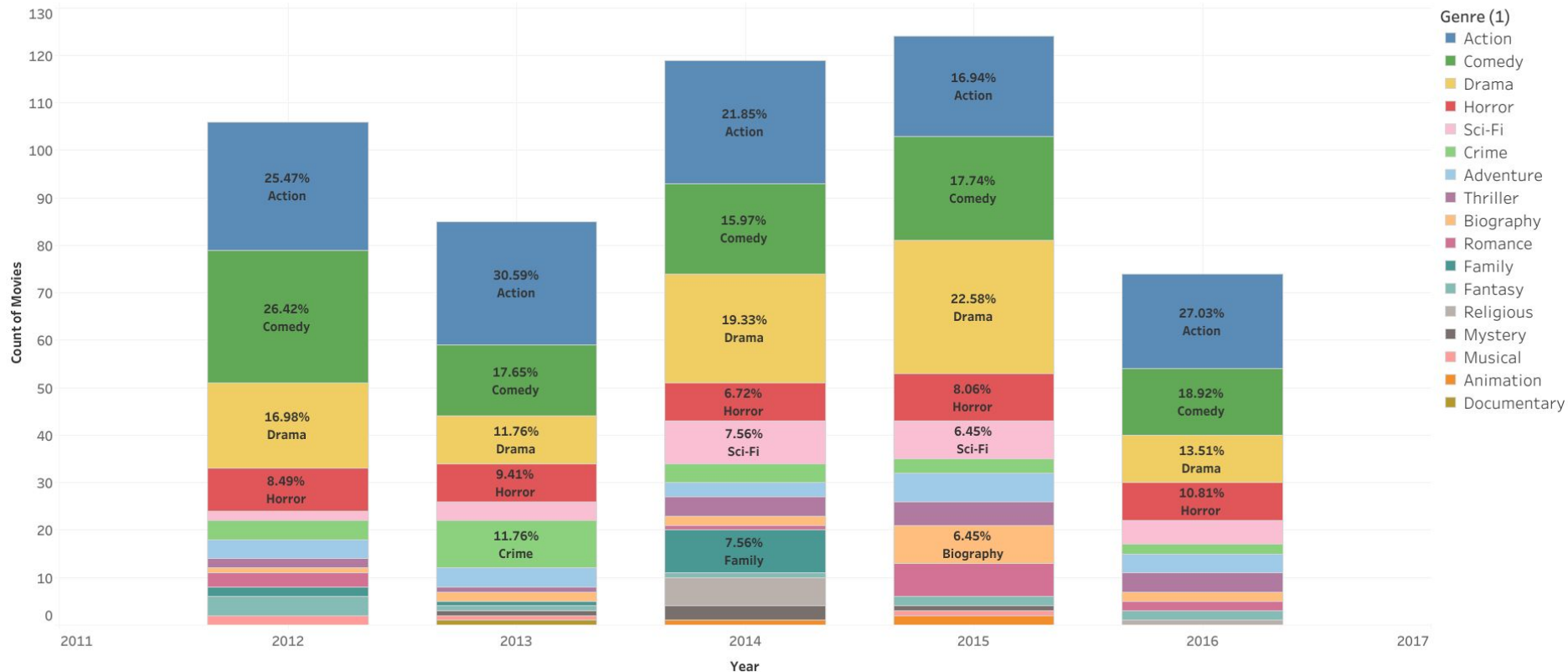
# Key Findings

- Action films generated the highest total revenue (~\$30.5B) with a budget of ~\$10.9B, indicating strong box office profitability.
- Adventure and Comedy follow, also yielding nearly 2–3× returns on investment.
- Overall, the industry trend shows that high-budget genres (Action/Adventure) drive the majority of global revenue, while low-budget genres rely on cost efficiency for profitability.

# Budget and Revenue Comparison Over Time

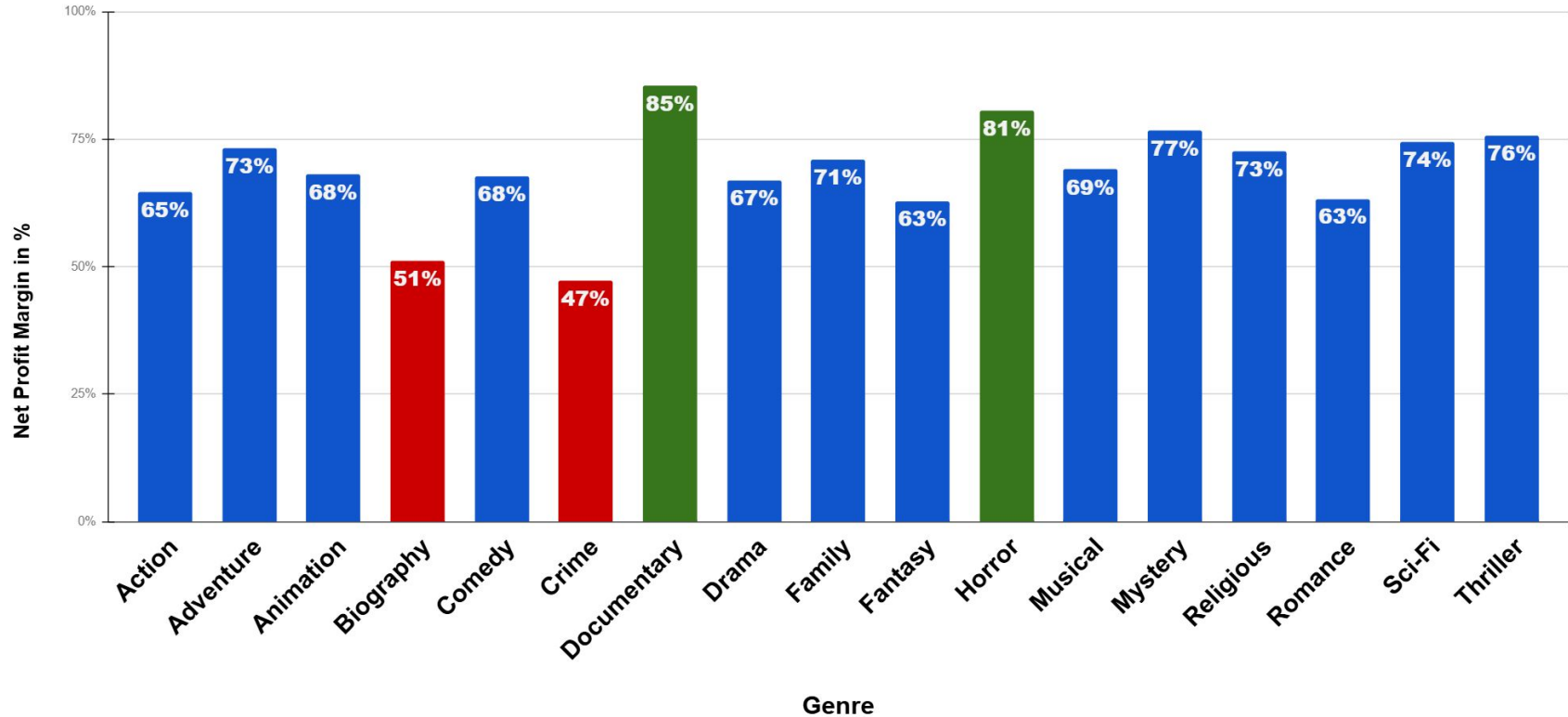


# Genre Breakdown by Year (2012-2016)

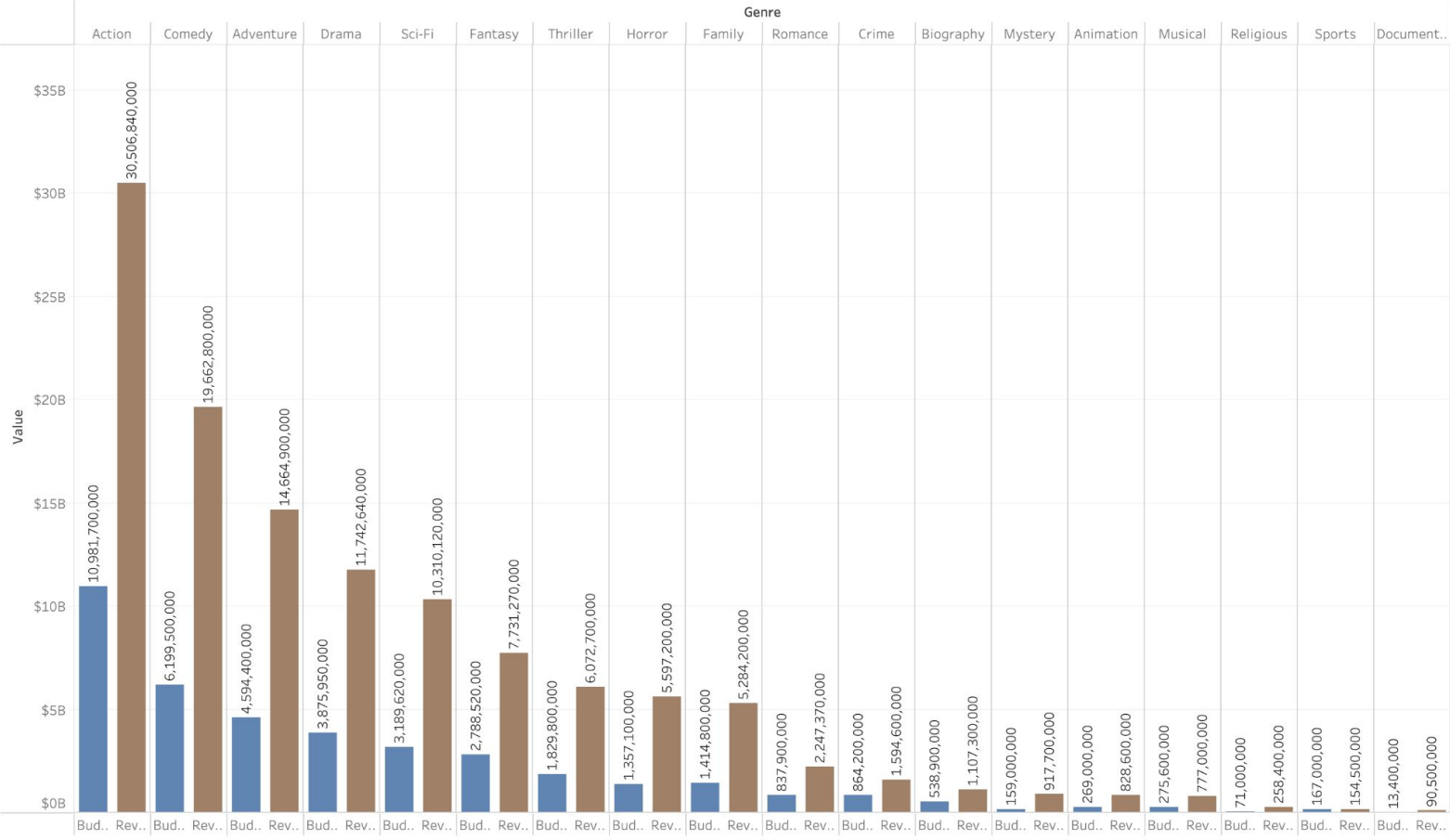




# Net Profit Margin by Genre



Budget vs Revenue by Genre



# Recommendations

1. Adjust business model and budget based on industry and economic conditions
2. Invest more in Horror and Documentaries, less in Crime, and Biographies
  - Horror and Documentaries had the highest profit margins, Crime and Biographies had the lowest.
3. For more consistent returns make, Action, Comedy, and Drama films
  - These are the most popular genres by no. of movies made and box office performance.
4. Make more sequels, and adaptations of popular franchises
  - Each of the top 10 highest grossing movies were franchise films, adaptations and sequels.



# Conclusion

This analysis of Netflix's movie data revealed key insights in efficiency, genre performance, and profitability. As a result, producers can take steps to be successful in the movie industry by paying attention to rising costs and economic conditions, investing in high-yield genres like horror and documentaries, and investing in stable genres such as action, comedy, and drama.

# Questions?



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